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White Paper - 15M Architecture for Strategic Procurement

Systematically Managing Procurement Risks with the 15M Architecture

Quick Start



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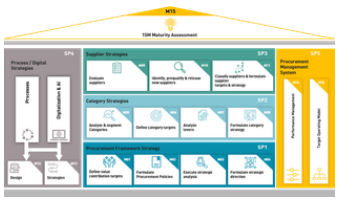
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Preface

No Risk, No Fun.
No Risk, No Business.

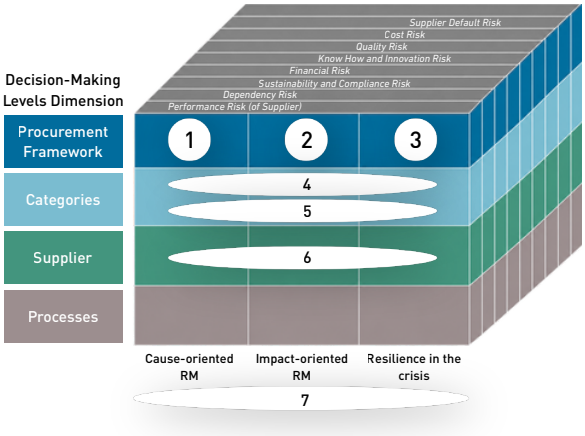
Today, effective risk management is a fundamental capability in procurement and a critical success factor at the strategic level.

15M Architecture



Integration of systematic risk considerations into all procurement decisions and processes

15M Risk Management



Risks are inherent in procurement and supply chains. There is no decision without uncertainty. The purpose of 15M Risk Management is to ensure that risk considerations are systematically embedded in all procurement decisions. The objective is not to eliminate risk; on the contrary, risks must therefore be managed consciously, balancing whether they should be avoided, mitigated, or deliberately accepted.

Embedding risk management into procurement processes and culture is a core capability that must be actively developed. In today's volatile and uncertain business environment, effective risk management has become a decisive strategic success factor.

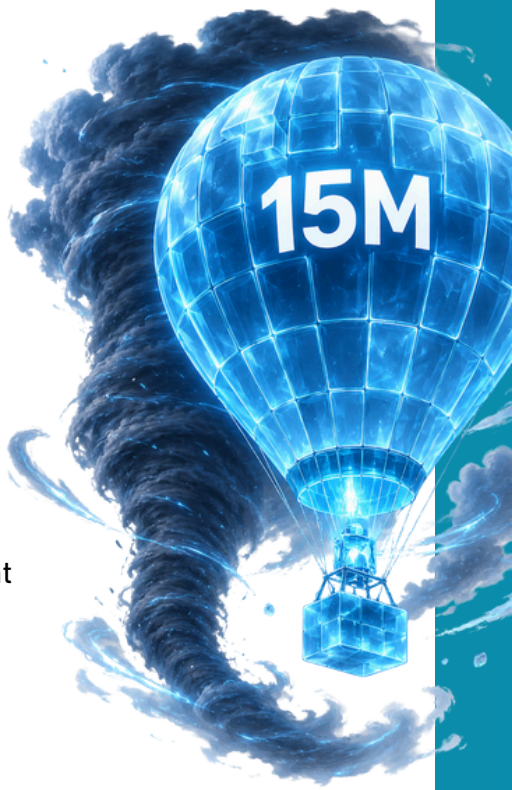
15M Risk Management is based on the 15M Architecture. Risk considerations are consistently integrated across all strategic areas of procurement, including the Procurement Framework Strategy, Category Management, Supplier Management, and Processes.

The approach is structured into seven building blocks, such as the management of top risks using the Risk Map. This modular design enables step-by-step implementation, which can be applied effectively even if procurement is not fully structured according to the 15M Architecture.

Objectives and Overview of Contents

The white paper "15M Risk Management: Systematically Managing Risks in Procurement with the 15M Architecture" provides procurement professionals with an introductory overview of the objectives and structure of 15M Risk Management. It outlines the core concepts and offers initial guidance on how to implement the approach within an organization.

1. The necessity and structure of risk management in procurement
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1. The Necessity and Structure of Risk Management in Procurement

The rising level of risk in procurement requires a more conscious approach to managing uncertainty. Holistic risk management is based on clear risk awareness, a structured framework, and the right set of tools.

The Need for Holistic Risk Management

- Growing pressure on efficiency driving higher willingness to take risk
- Highly interconnected global supply chains increase vulnerability
- Sustainability and compliance breaches within the supply chain putting business at risk
- Geopolitical shifts and the use of economic leverage as a political tool threaten supply stability

Requirements for Holistic Risk Management



Philosophy



Method



Tools

The following developments are significantly increasing risk exposure for companies:

- **Rising efficiency pressure** reduces traditional risk buffers, for example through single sourcing, just-in-time delivery models, and sourcing from best-cost countries. Risk management must balance potential savings against strategic vulnerabilities.
- **Highly interconnected global supply chains** are increasingly fragile. Even minor disruptions can trigger widespread breakdowns. Effective risk management strengthens resilience.
- **Evolving sustainability and compliance requirements** add further complexity. Violations within the supply chain can pose serious threats to business continuity. Risk management enhances transparency and mitigates these risks.
- **Geopolitical shifts** are turning economic dependencies into political leverage, through tariffs, sanctions, or embargoes. Risk management helps safeguard critical supply relationships.

Establishing a holistic risk management system goes beyond implementing IT tools. It requires embedding a strong risk-aware mindset across the organization, developing an integrated framework that systematically incorporates risk into all decisions, and supporting these efforts with an effective digital and system landscape.

2. Philosophy

2.1 Developing risk awareness

Every procurement decision carries risk, making a culture of risk awareness essential. Risk management ensures this awareness is developed, guided, supported, and consistently maintained.



Risk awareness culture
A strong culture of risk awareness means that risk considerations are embedded in every decision:

- **Awareness of risks:** Recognizing that risks are always present
- **Transparent decision-making:** Explicitly identifying and evaluating the risks involved
- **Structured trade-off:** Systematically balancing risk mitigation and risk acceptance against other procurement objectives
- **Ongoing vigilance:** Remaining alert to emerging and unexpected risks

Role of risk management
Risk management shapes, guides, supports, and monitors a company-wide culture of risk awareness by embedding it into procurement processes, methods, and tools. This is reinforced through clear guidelines, organizational development, capability building, and structured change management.

Every procurement decision involves a degree of risk, driven by many factors. Information may be incomplete, situations can be misjudged, and suppliers may act unpredictably. In addition, external conditions, such as tariffs or climate events, can change rapidly and unexpectedly.

The key implication is clear: risk must be systematically considered in every procurement decision. This requires integrating risk perspectives into procurement processes, methods, and the overall Procurement Management System. At the same time, organizations must actively foster a culture of risk awareness. This includes:

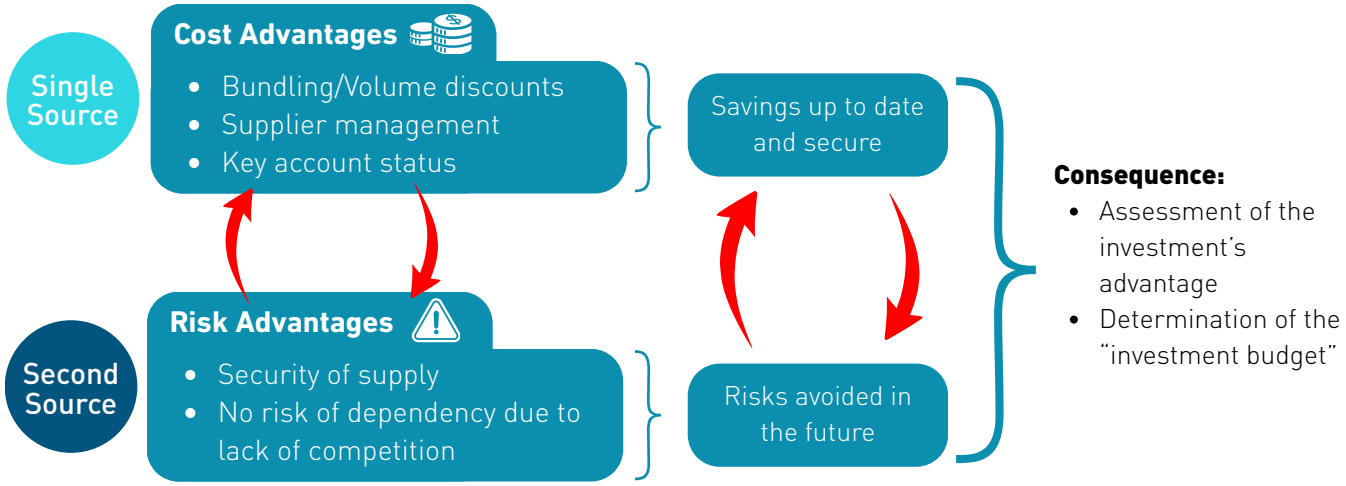
- **Awareness of risk:** Ensuring that both management and employees recognize the existence of risks and are appropriately trained to address them
- **Transparency:** Making risk assessment an explicit and conscious part of every procurement decision
- **Structured trade-off:** Systematically balancing the trade-off between risk mitigation and risk acceptance
- **Continuous vigilance:** Maintaining sensitivity to emerging risks and unexpected developments

2. Philosophy

2.2 Risk Management as an Investment

Actions to reduce risk are strategic investments. In essence, it is offsetting the costs today for uncertain future returns or savings. The role of risk management is to make balanced, well-informed investment decisions.

Example: Should a second source be established?



The investment nature of risk management can be illustrated by this example of establishing a second source.

A single-source strategy often delivers cost advantages, through volume consolidation and economies of scale, especially when fixed order costs are involved. In addition, reduced supplier complexity and the potential to achieve preferred customer status can further enhance cost efficiency. These benefits are typically realized immediately at the time of sourcing.

By contrast, introducing a second source helps mitigate risk. A disruption at a single supplier or within its region can lead to supply shortages, lost revenue, and significant downstream costs. It also reduces dependency on a single supplier. However, these benefits are uncertain and lie in the future, they materialize only if and when a disruption occurs. They are difficult to quantify.

This illustrates a classic investment dilemma: known and immediate costs must be weighed against uncertain future benefits or avoided losses. For risk management, this leads to two key implications:

All procurement decisions should be assessed in terms of their risk-adjusted value contribution.

The scale of risk mitigation measures must be carefully balanced, as investment budgets are typically limited.

2. Philosophy

2.3 15M Architecture as the basis for 15M Risk Management

The 15M Architecture provides a holistic and integrated view of procurement, encompassing all relevant decision dimensions. It forms the foundation of the 15M Risk Management framework.



Risk must be systematically considered in every procurement decision.

The 15M Architecture of the Procurement Strategy provides a systematic and holistic procurement management framework and serves as the foundation for 15M Risk Management.

To ensure a structured approach to procurement decisions, the framework is organized into five Strategy Partitions (SP), which also form the backbone of the 15M Risk Management System:

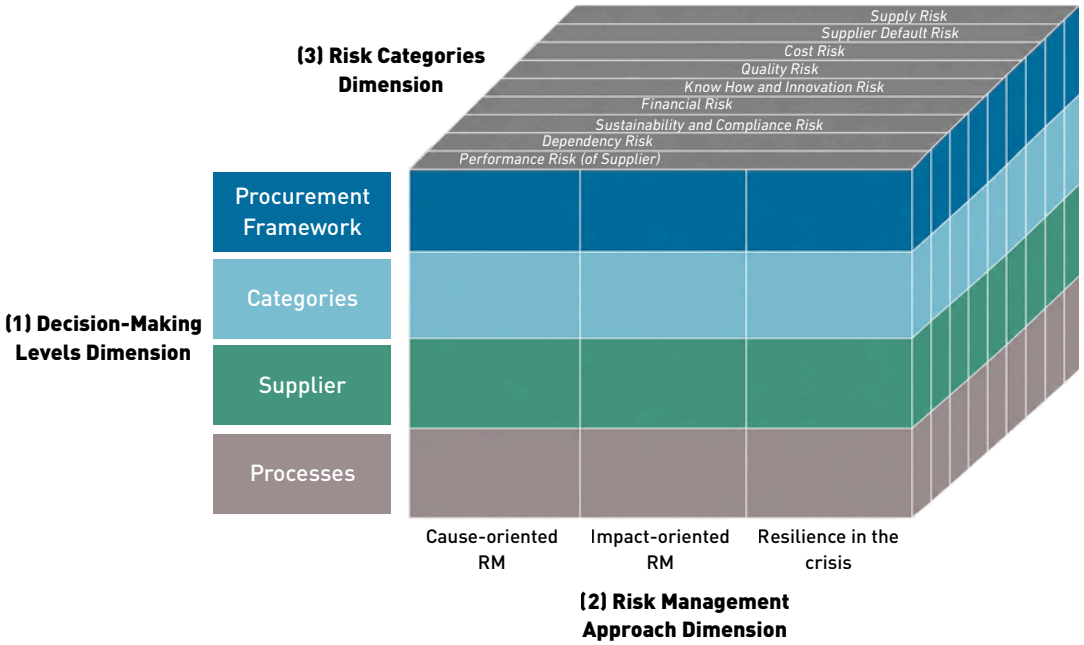
- **SP1 – Procurement Framework Strategy**
  - Defines how procurement aligns with the company's overall business objectives and strategic direction.
- **SP2 – Category Strategies**
  - Establishes a dedicated strategy for each relevant procurement product category.
- **SP3 – Supplier Strategies**
  - Governs the management and collaboration approach for individual suppliers.
- **SP4 – Process & Digital Strategies**
  - Focuses on the continuous improvement and digitalization (including AI) of procurement processes.
- **SP4 – Process/Digital Strategies**
  - Adresses the optimization and digitalization of procurement processes. This includes improving workflows, automation, data integration, and applying digital tools/AI.
- **SP5 – Procurement Management System**
  - Covers all management and governance activities related to procurement performance, including controlling, organizational design, capability, and leadership.
  - **15M Maturity Assessment**
    - Evaluates the current maturity of procurement against the 15M model, identifies gaps, and defines a structured roadmap for continuous improvement.

3. Concept of 15M Risk Management

3.1 The 15M Risk Cube

15M Risk Cube: structures risk management across three dimensions: (1) decision-making levels, (2) approaches to risk management, and (3) risk categories. The elements are combined into manageable building blocks.

The 15M Risk Cube



15M Risk Cube: structures risk management across three key dimensions:

- **(1) Decision-making levels:**
  - Risk management differs across procurement levels: framework strategy, categories, suppliers, and processes. Each level requires a tailored approach (e.g., top risks vs. supplier risks).
- **(2) Risk management approaches:**
  - Three core approaches are applied: cause-oriented, impact-oriented, and resilience-focused.
- **(3) Risk categories:**
  - Risks are grouped into nine main categories, such as supply or sustainability risks.

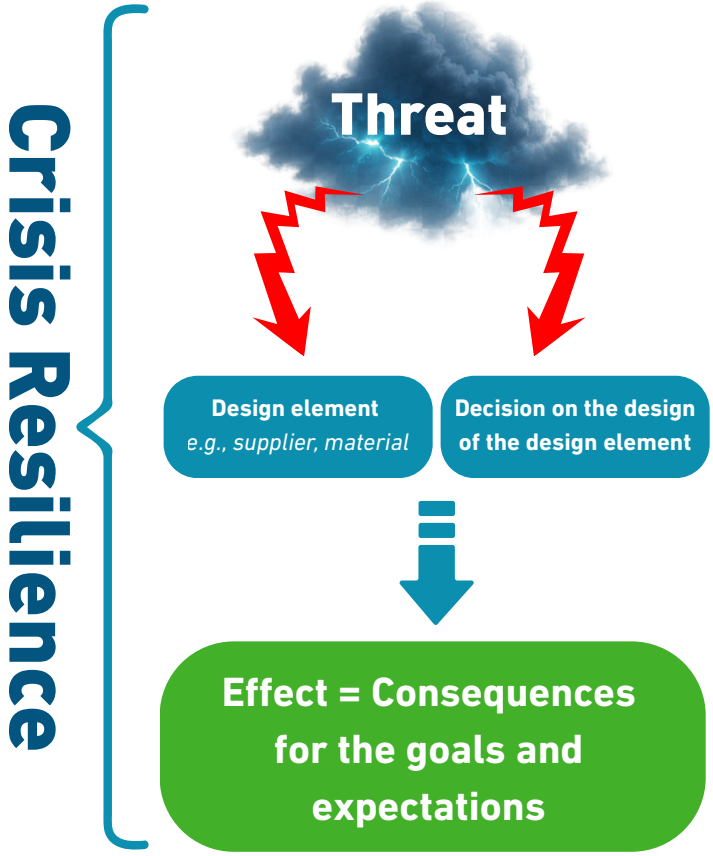
To reduce complexity, these elements are consolidated into seven practical building blocks, enabling a structured and step-by-step implementation of holistic risk management, independent of company size or maturity level.

3. Concept of 15M Risk Management

3.2 Approaches to Risk Management Dimension

Three core approaches are applied in procurement: cause-oriented, impact-oriented, and resilience-focused. These approaches complement each other and should ideally be implemented in parallel.

There are three basic approaches to identifying and managing risks:



Cause-oriented approach:
Focuses on identifying and assessing potential threats based on their likelihood and impact. For significant risks, appropriate countermeasures are proactively defined and implemented.

Impact-oriented approach:
Identifies critical elements (e.g., materials, suppliers, regions) whose disruption could cause major or even existential damage. Mitigation measures are considered even without an immediate or visible threat.

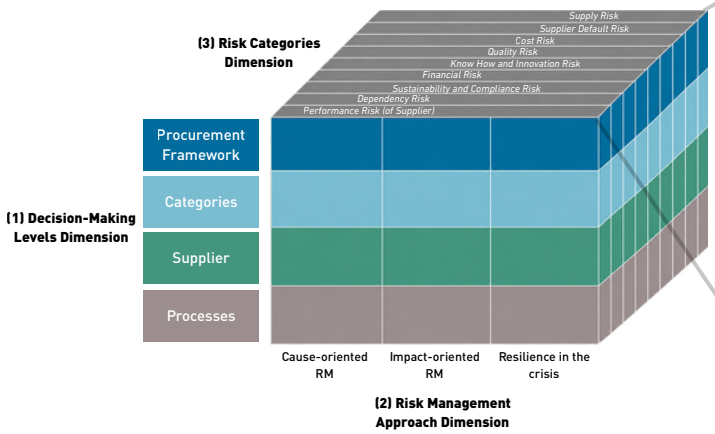
Resilience-focused approach:
Strengthens the organization's ability to respond to unexpected disruptions by identifying weaknesses and improving responsiveness and adaptability within procurement.

The three approaches are complementary, each addressing different aspects of risk management. While they are ideally combined and implemented in parallel, each approach also provides value on its own and does not require simultaneous implementation.

3. Concept of 15M Risk Management

3.2 Risk Categories Dimension

Risk categories: 15M Risk Management applies a holistic and systematic approach to managing procurement risks, structured into nine Tier 1 categories to enable targeted analysis and action.



Risk Categories

1. Supply risks
2. Failure risks
3. Cost risks
4. Quality risks
5. Know-how and innovation risks
6. Financial risks
7. Sustainability and compliance risks
8. Dependency risks
9. Performance risks

Risk categories: Nine Tier 1 risk categories are defined to structure procurement risks and enable targeted analysis and mitigation:

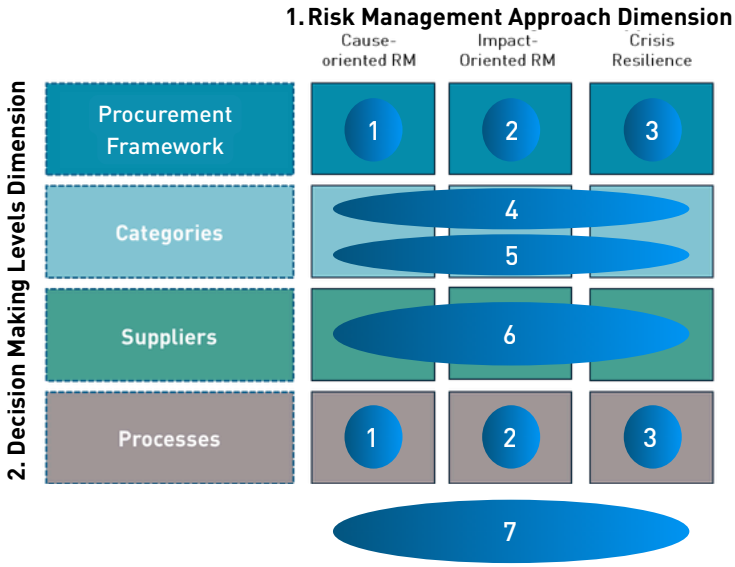
1. **Supply risks:** Material shortages driven by market conditions
2. **Failure risks:** Supply disruptions caused by supplier-related issues
3. **Cost risks:** Unexpected changes in material or total cost structures
4. **Quality risks:** Supplier performance issues affecting product or service quality
5. **Know-how and innovation risks:** Risks related to technology, expertise, or IP loss
6. **Financial risks:** Risks arising from financial exposure, such as inventory or pre-financing
7. **Sustainability and compliance risks:** Risks related to environmental, social, or regulatory violations
8. **Dependency risks:** Over-reliance on specific suppliers or regions
9. **Performance risks:** Other factors impacting supplier performance, such as cyber or contractual risks

These categories serve as a practical framework to support structured risk management. They can be further detailed into subtypes, typical causes, and mitigation measures based on practical experience, rather than strict theoretical classification.

4. The Seven Building Blocks

4.1 Overview of Building Blocks

The seven building blocks form the core components of 15M Risk Management. Each can be implemented independently, in any sequence, and together they create a holistic procurement risk management system.



Framework Strategy

1. Risk Map: Cause-oriented management of top risks using the Risk Map.
2. Resilience: Impact-oriented analysis to assess resilience levels.
3. Resilience in Crisis: Enhancing crisis resilience in response to unexpected risks.

Categories

4. Materials: Implementation of risk management specifically for materials.
5. Application of risk management within categories, supported by the 15M-Risk Radar.

Supplier

6. Supplier: Execution of Supplier Risk Management using tools like the 15M-Risk Radar.

Base

7. Procurement Management System: Incorporates comprehensive Risk Data Management capabilities.

Each building block represents a component of risk management in procurement that can be implemented on its own. Together, they form a holistic risk management system for procurement.

The first three building blocks target the overall procurement strategy and the top risks. The building blocks are structured according to risk management approaches:

1. **Cause-oriented approach:** Managing top risks with the risk map
2. **Impact-oriented approach:** Enhancing resilience
3. **Maturity model for increasing crisis resilience** in procurement team

Building blocks 4 to 6 address risks at the level of materials, categories, and suppliers, including multi-tier (N-tier) risks. The 15M Risk Radar serves as a structured tool to systematically identify, assess, and manage risks across defined risk categories.

4. **Material risks**, including risk cluster management
5. **Category risks**, including use of the 15M Risk Radar
6. **Supplier Risk Management**

Building Block 7 designs the **Risk Management System**, i.e., aspects of the Procurement Management System that are significant in risk management.

4. The Seven Building Blocks

4.2 Building Block 1: Cause-oriented Management of Top Risks

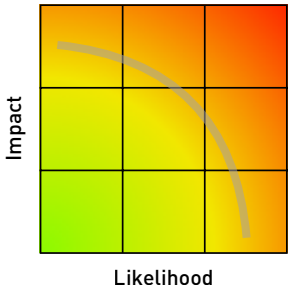
Cause-oriented risk management: focuses on identifying and assessing critical procurement risks using tools such as the Risk Map. Where economically justified, risks are mitigated or eliminated while continuously accounting for dynamic changes in the environment.



1. Identify Risks Through a Risk Workshop | **2. Analyse and Evaluate Risks with Risk Heat Map** | **3. Manage Risks**

Cause-oriented risk management of top risks follows a structured and recurring process:

- **Identify risks:** Key risks are identified using methods such as cross-functional workshops, brainstorming, and checklists, creating transparency across potential threats.
- **Assess risks:** Risks are then evaluated based on likelihood and impact and visualized in a Risk Map.
- **Mitigate risks:** Risks above the defined acceptance threshold are reduced or avoided where economically justified and documented in a risk inventory.
- **Monitor risks:** Preventive measures and risk developments are continuously tracked, supported by tools where needed, while ensuring early identification of new risks.
- **Integration into the 15M Architecture:** Building Block 1 is embedded within the Procurement Framework Strategy (SP1). Risks are incorporated into strategic analysis, while mitigation actions are defined and prioritized as part of strategic directions or improvement initiatives.

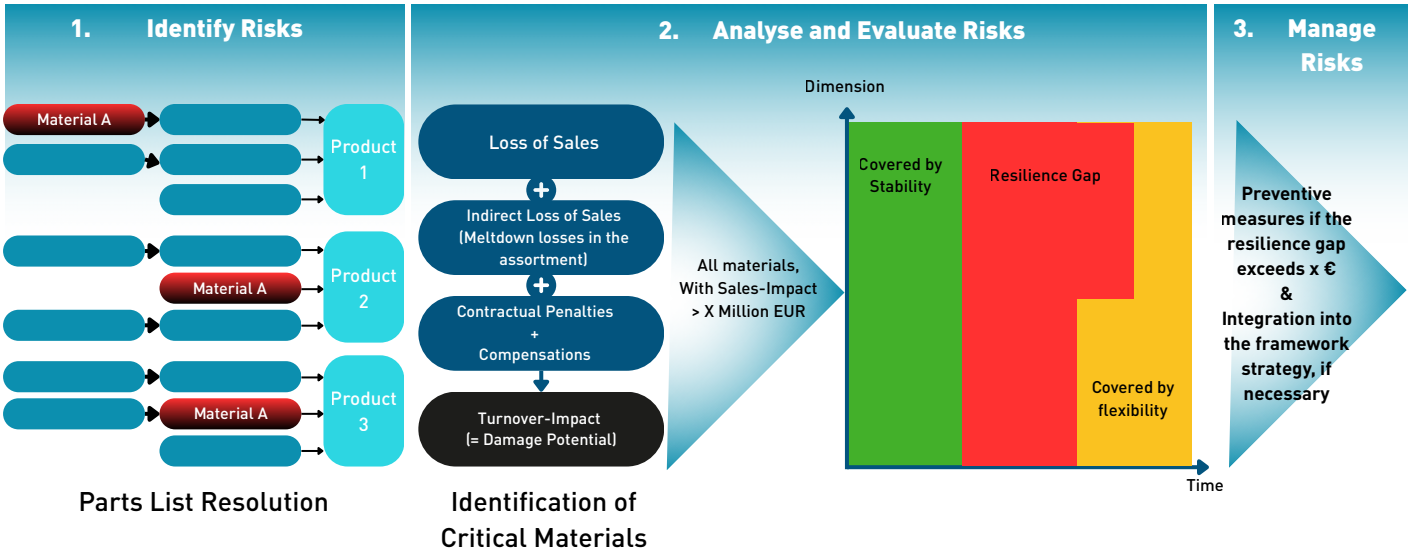


Risk heatmap is a simple visual tool that plots risks based on impact and likelihood. Each risk is positioned as a point in the matrix. A defined acceptance threshold (line of acceptance) separates tolerable risks from critical ones. Risks above the line require mitigation, while risks below can typically be accepted or monitored. Movement of risks over time shows how likelihood or impact may change.

4. The Seven Building Blocks

4.3 Building Block 2: Impact-oriented Management of Top Risks

Impact-oriented management identifies materials or suppliers with potentially very high or existential impact. Even without a specific threat, it assesses whether dependencies can be reduced in an economically viable way.



Impact-oriented management of top risks follows the standard risk management process, but with a different focus:

- **Identify risks:** Risks are defined as materials or suppliers whose disruption could cause very high or even existential damage. Specific threats or probabilities are not the starting point. Using Bill of Materials analysis, the affected products and revenue streams are identified, and potential damage is quantified (e.g., loss of sales or margin), including additional impacts such as penalties, recovery costs, or consequential losses.
- **Analyze and evaluate risks:** High-impact materials and suppliers are assessed in terms of substitutability. If short-term alternatives exist, the risk is limited. Otherwise, the resilience gap is determined, defined as the time difference between available inventory and the availability of a replacement source. This gap represents the actual risk exposure.
- **Manage and monitor risks:** Preventive measures are defined and implemented where required, similar to the cause-oriented approach. These measures can be anchored in the Procurement Framework Strategy or handled as operational improvements. Ongoing monitoring is essential to track risk developments and identify new exposures, with a full impact-oriented review conducted at least annually.

4. The Seven Building Blocks

4.4 Building Block 3: Increasing Crisis Resilience in Procurement

Eliminating all risks in procurement is neither possible nor desirable. The 15M Maturity Analysis for crisis resilience identifies and systematically addresses weaknesses in procurement's ability to withstand disruptions.



Procurement without crises is neither realistic nor necessarily desirable. In some cases, it can be economically sensible to accept identified risks. In particular, risks with low probability but extremely high impact present a challenge as preventive measures are often difficult to justify in advance. At the same time, unexpected risks will always occur.

As a result, crises are an inherent part of procurement. This is why 15M Risk Management places strong emphasis on strengthening procurement capabilities to manage disruptions effectively. The 15M Maturity Analysis for crisis resilience builds on this by systematically identifying and addressing improvement potential.

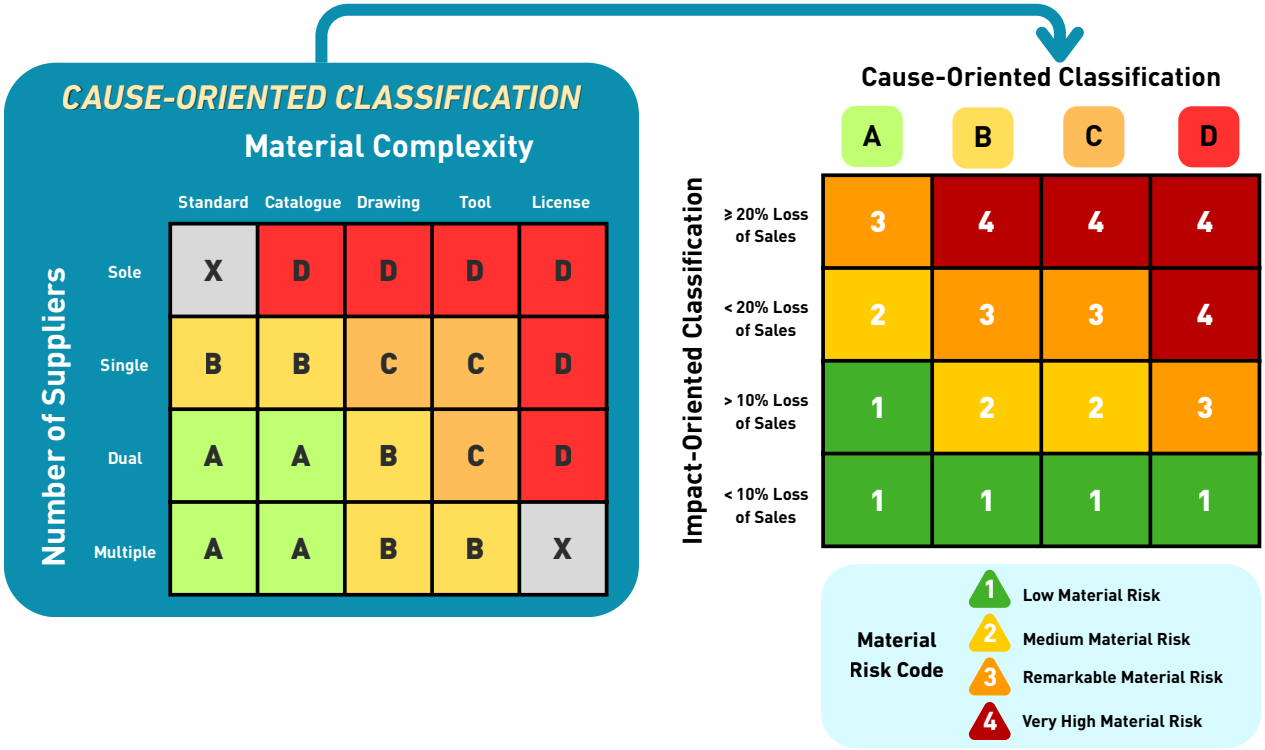
Two examples illustrate this approach:

- **Transparency:** Ensuring that comprehensive crisis plans are in place (e.g., for supplier insolvency or compliance violations) and that all critical scenarios are covered
- **Networking:** Testing and improving key processes, such as supplier or material approvals, through structured simulations ("fire drills") to ensure effective response in crisis situations

4. The Seven Building Blocks

4.5 Building Block 4: Managing Material Risks

Materials or risk clusters with high risk exposure require careful management in procurement. Risk analysis should remain simple and can be conducted using both cause-oriented criteria and impact-oriented measures.

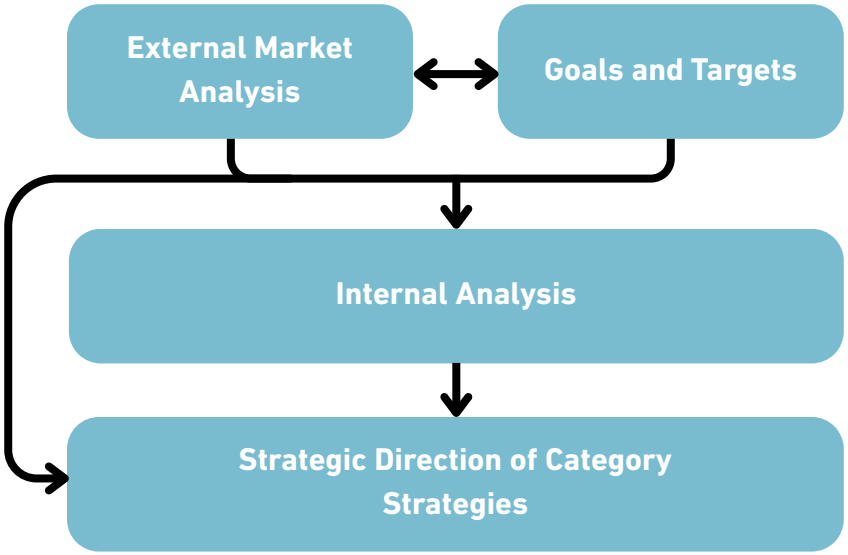


Materials with elevated risk exposure require careful management in procurement. Given the large number of materials, risk assessment should be kept simple and, where possible, automated. Both cause-oriented and impact-oriented approaches can be applied:

- **Cause-oriented approach:** Materials are assessed based on characteristics that indicate vulnerability, such as supplier structure or complexity. For example, materials with a single or sole supplier, or those requiring licenses or specialized tooling, are considered higher risk. These dimensions can be combined into a structured risk classification.
- **Impact-oriented approach:** The potential financial impact of a material disruption, such as loss of revenue, is assessed using impact-based analysis. This provides a benchmark for evaluating the criticality of materials.
- **Combined view:** Integrating both approaches results in a consolidated material risk classification, enabling prioritization (e.g., from low to very high risk).
- **Risk clusters:** Materials with shared risk drivers are grouped into risk clusters, for example, by all materials. These clusters require focused and proactive management.

4.6 Building Block 5: Managing Risks in Categories

Risk analysis within supply market and their associated categories is integrated into the development of category strategies. As such, the assessment of market risks is based on the standard category strategy framework.



Category strategies define the strategic positioning within a specific category (e.g., IT, motors, cables) and are developed in four key steps within the 15M Architecture:

- **External market analysis:** This step examines market dynamics beyond the company's control, such as price trends, currency developments, supplier structures, technological changes, and regulatory factors. Risks may arise across all areas of this analysis.
- **Objectives and targets:** These serve as reference points for evaluating risks and guiding strategic decisions.
- **Internal analysis:** A core element of strategy development, focusing on key levers and design choices. Typical questions include the number of suppliers, regional distribution, and degree of demand bundling. All three risk management approaches (cause-oriented, impact-oriented, and resilience-focused) are applied.
- **Strategic direction:** The findings from the analysis are consolidated into clear strategic directions. Risk considerations are balanced alongside cost, sustainability, and other procurement objectives, for example, when defining the optimal geographic distribution of suppliers.

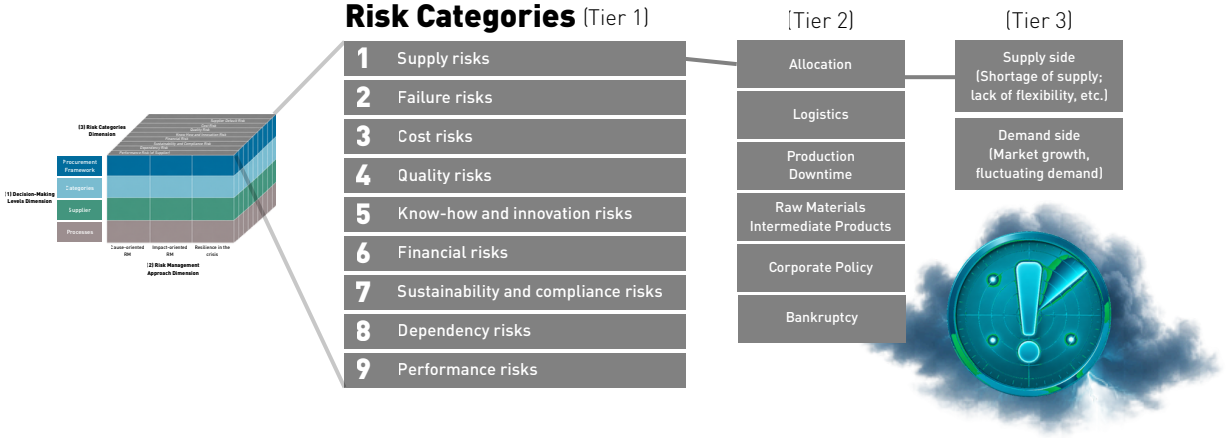
Supply chain and multi-tier (N-tier) perspectives are increasingly integrated into both analysis and strategy development, although they are still evolving in practice.

4. The Seven Building Blocks

4.7 15M Risk Radar

The 15M Risk Radar is a comprehensive risk checklist structured around the Tier 1 risk categories. It provides detailed descriptions of risks and outlines typical preventive measures. The Risk Radar primarily supports Building Block 5 (category risks) and Building Block 6 (supplier risks).

Example: Cause of risk



The 15M Risk Radar is a comprehensive risk checklist structured along the nine Tier 1 risk categories of 15M Risk Management. It provides detailed insight into each risk, including multi-level root-cause analysis from high-level risk types down to underlying drivers (e.g., regional disruptions such as embargoes). In many cases, it also outlines relevant preventive measures. Beyond its use as a checklist, the 15M Risk Radar is embedded in:

- **Building Block 5 - Category risks**: In both external and internal category analysis, risks arise across multiple dimensions, such as market concentration or increasing supplier power. The Risk Radar supports the structured identification, consolidation, and prioritization of these risks, ensuring they are systematically incorporated into category strategy development.
- **Building Block 6 - Supplier risks**: Within supplier evaluation, the Risk Radar enables a consistent and targeted selection of relevant risk factors. It also serves as a knowledge base, supporting capability building and increasing transparency in supplier risk analysis across procurement teams.

4.8 Building Block 6: Supplier Risk Management

Cause-oriented supplier risk management is conducted through structured, scoring-based supplier evaluations. In addition, impact-oriented analysis should be applied, and for strategically important suppliers, crisis resilience should also be assessed.



1. Select relevant risk categories



2. Calculate risk score



3. Trigger prevention measures

Industry-specific risk categories are defined (e.g., using the 15M Risk Radar). For efficiency, the scope and complexity of the assessment should be limited. Risks are evaluated qualitatively based on the expected damage (probability of occurrence × extent of damage) for each risk type at the supplier. The aggregated expected values result in a risk score, which serves as the key risk indicator. An exponential scaling ensures that significant risks are clearly reflected in the score.

Preventive measures are reviewed once certain thresholds are reached at supplier level or within individual risk categories.

The cause-oriented analysis can be complemented by an impact-oriented analysis, which determines the potential financial impact (e.g., loss of sales or operating profit) in the event of supplier failure. Comparing cause-oriented and impact-oriented results across suppliers provides valuable portfolio insights.

For strategically important suppliers, crisis resilience should also be assessed, for example, through the extent of management-level networking or the existence of joint crisis trainings.

4. The Seven Building Blocks

4.9 Building Block 7: Setting up the Risk Management System

The Risk Management System is not a standalone concept, but a dedicated perspective within the Procurement Management System. It covers key areas such as governance, organizational setup, stakeholder management, and the development of risk awareness.



The Risk Management System defines how risk-related aspects are governed within the Procurement Management System. It ensures that risk considerations are systematically embedded across organization, processes, and decision-making. Key elements include:

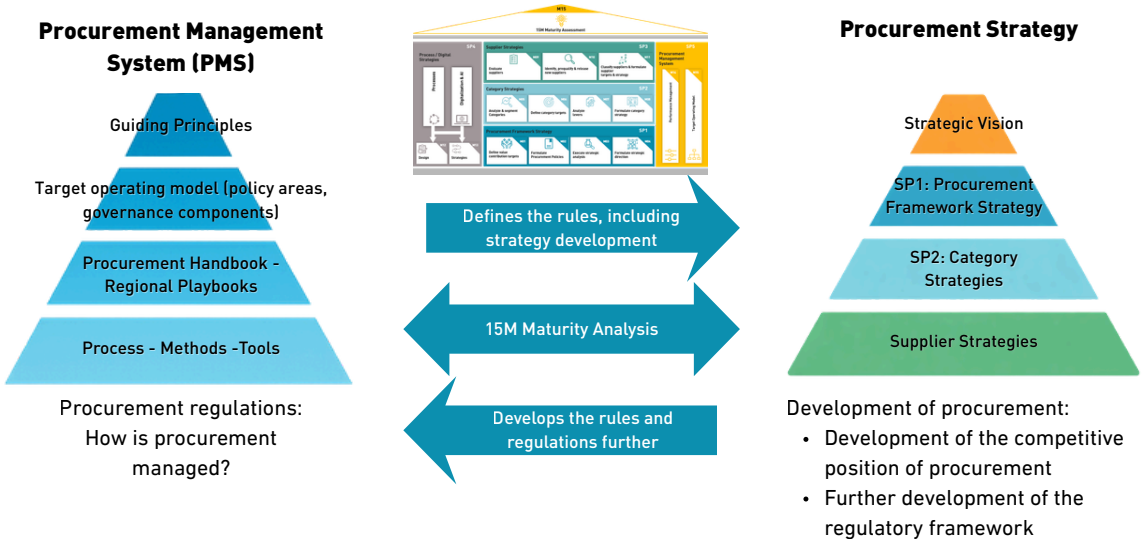
- **Governance:** Defines responsibilities and decision rights for managing risks in procurement, such as accountability for supply chain risks or authority to restrict sourcing regions.
- **Organization & roles:** Clarifies how risk management responsibilities are distributed across functions (e.g., risk managers, category managers) and establishes dedicated risk-related roles where needed.
- **Stakeholder management:** Identifies relevant internal and external stakeholders involved in risk-related decisions and defines how they are engaged.
- **Risk targets & controlling:** Establishes KPIs and risk targets to steer procurement, supported by structured reporting mechanisms such as a risk inventory.
- **Risk awareness & competence:** Ensures that employees and managers develop a strong understanding of risk management, supported by clear guidelines and capability-building measures.

Within a risk-oriented strategic transformation, these elements are aligned to ensure that risk considerations are consistently embedded throughout the Procurement Management System.

5. Risk-oriented Strategic Transformation

5.1 Relationship between the Procurement Management System and strategy

Risk-oriented Strategic Transformation develops both the strategic direction and risk awareness within the Procurement Management System (PMS). The procurement strategy, particularly the Procurement Framework Strategy, serves as the primary mechanism for steering and driving this transformation.



The 15M Architecture brings together two key perspectives that are central to the strategic transformation of procurement.

The Procurement Management System (PMS) defines the rules and governance of procurement activities. Effective procurement requires clear and transparent structures: guiding principles outline core responsibilities (e.g., accountability for risk management in the supply chain), while PMS elements define key regulations for the organization and its strategic processes. Detailed process descriptions further specify how procurement activities are executed.

The procurement strategy drives strategic development across different levels, overall procurement, categories, and suppliers. These developments may focus either on enhancing the PMS or strengthening procurement's competitive position in supply markets.

In a risk-oriented strategic transformation, procurement rules and structures are continuously aligned and enhanced with a strong focus on risk awareness. The Procurement Framework Strategy serves as the central driver of this transformation by defining strategic directions (e.g., implementing Supplier Risk Management). The interaction between the PMS and the Framework Strategy is further refined through maturity management, which is detailed in the next section.

5. Risk-oriented Strategic Transformation

5.2 Process of Strategic Transformation in Procurement

The Risk Management System is not a standalone concept, but a dedicated perspective within the Procurement Management System. It covers key areas such as governance, organizational setup, stakeholder management, and the development of risk awareness.



15M Maturity Management assesses the maturity of the Procurement Management System (PMS) and identifies areas for improvement. Particular emphasis can be placed on risk-related aspects, especially the level of implementation of the seven building blocks. The identified improvement opportunities are translated into strategic options and integrated into the Procurement Framework Strategy, where they are prioritized alongside other initiatives, consolidated into a coherent strategy, and implemented.

In practice, this drives a continuous strategic transformation. For example, in one case, maturity assessments were conducted regularly over several years, complemented by iterative updates of the Framework Strategy. Development typically follows a step-by-step approach: starting with the management of top risks, followed by the introduction of category and supplier risk management, and later expanding to resilience-oriented approaches.

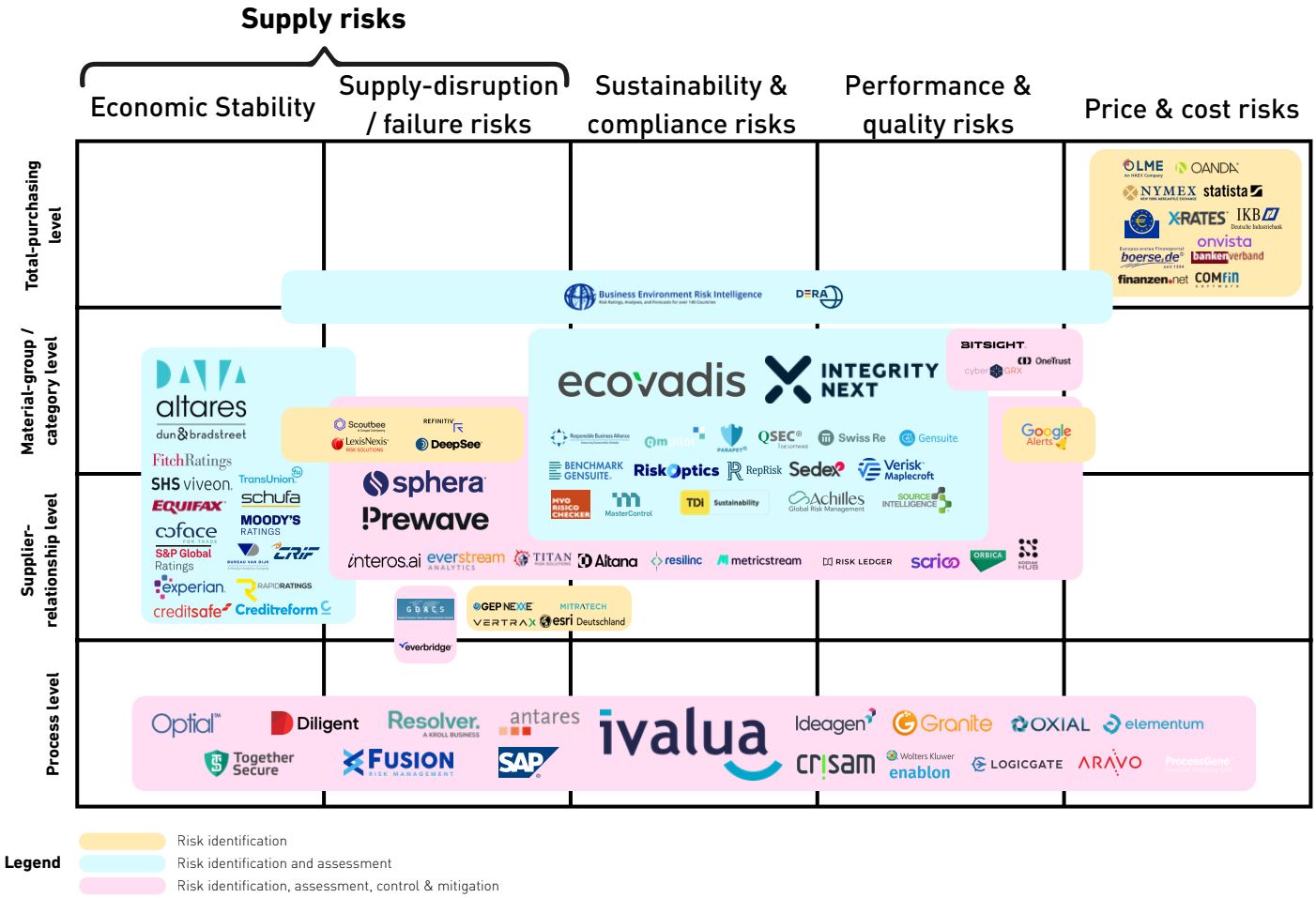
Overall, risk management capabilities are progressively developed and professionalized over time.

Note: Even without adopting the full 15M Architecture, improvement opportunities in procurement risk management can be identified using the seven building blocks and implemented through targeted, stand-alone initiatives.

6. Digital Tools in Risk Management

6.1 Overview of Digital Tools in Risk Management

Digital tools play a critical role in supporting risk management by providing data and insights for identifying, analyzing, and evaluating risks, often in real time. They can be effectively integrated into procurement processes to enhance transparency, monitoring, and decision-making.



In practice, any digital tool that enhances the quality of procurement decisions also contributes to risk management.

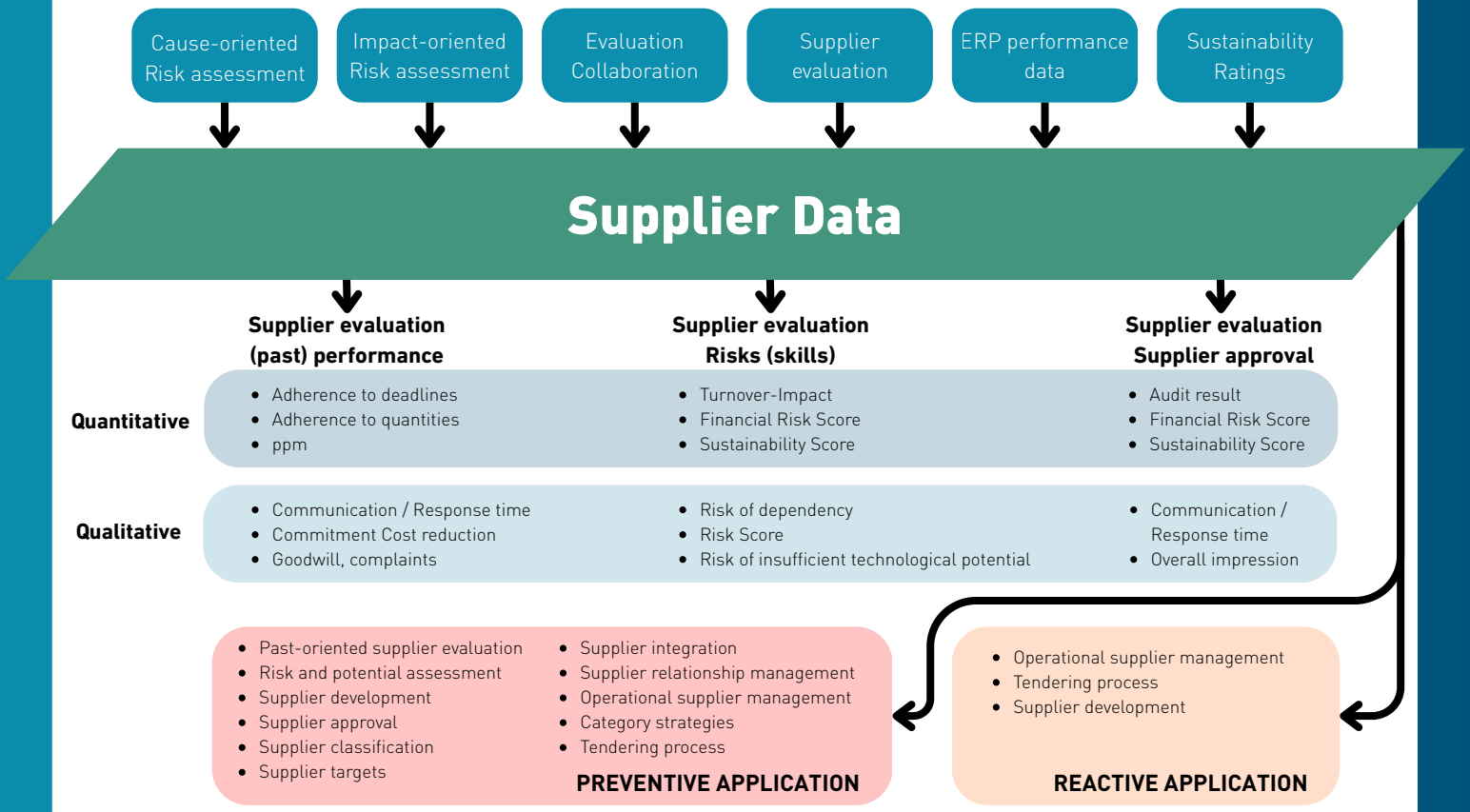
Examples include general information sources, digital assistants, and platforms that provide insights into market and price developments. Today, risk-related functionalities are increasingly embedded in standard procurement systems, including SRM and ERP solutions.

To be effective, these tools must be systematically integrated into procurement processes, decision-making frameworks, and underlying data management structures.

6. Digital Tools in Risk Management

6.2 Data Management Using the Example of Supplier Risk

The integration of risk management into procurement decision-making is particularly evident in supplier data management. All relevant supplier data is consolidated within a central database, serving as a single point of truth and supporting all applications across supplier management.

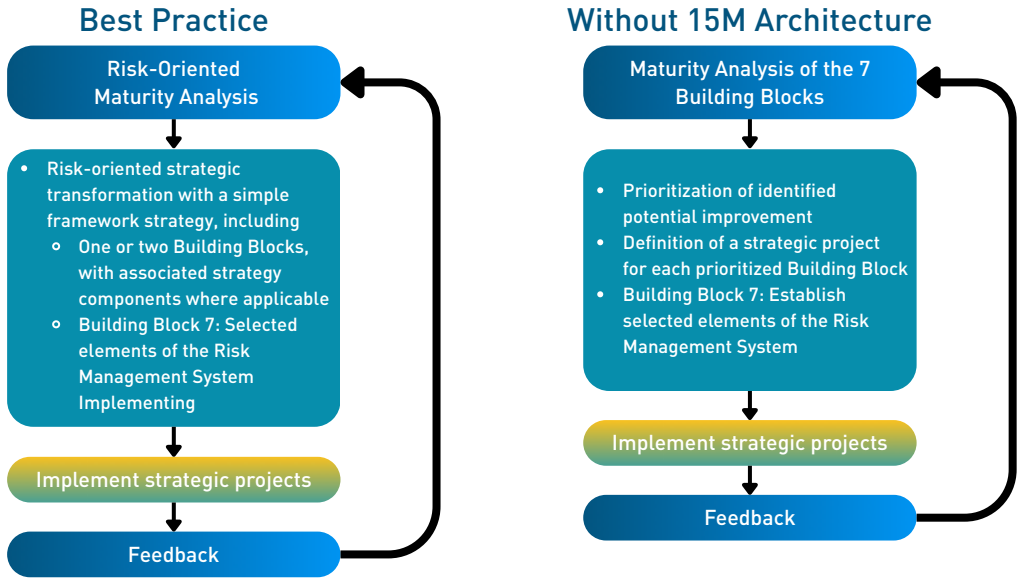


Supplier data integration: Supplier data is collected from a wide range of internal and external sources, including ERP and SRM systems, quality and engineering data, supplier approval processes, regular performance and potential assessments, as well as external inputs such as financial ratings, risk insights, and sustainability evaluations.

Single source of truth: To ensure consistency and usability, all relevant data should be consolidated into a central database, a single point of truth. This requires rigorous data validation and ongoing quality management to ensure reliability, even though it may involve significant effort.

Application in Supplier Risk Management: This centralized data foundation supports all supplier management and risk management processes, both preventive (e.g., supplier classification, target setting) and reactive (e.g., issue resolution, supplier development).

7. How to Get Started



Ideal approach:
The implementation of 15M Risk Management is embedded within the broader strategic transformation of procurement using the 15M Architecture. This approach starts with a risk-oriented maturity assessment within the Procurement Framework Strategy. The assessment can be conducted at varying levels of depth, from a basic inventory based on the 15 modules to a more advanced evaluation with a maturity score. In both cases, the objective is to identify and prioritize improvement opportunities. Based on these insights, the Framework Strategy defines strategic directions to establish or further develop key elements of the Procurement Management System.

Approach without 15M Architecture:
Even without adopting the full 15M Architecture, procurement risk management can be implemented using the 15M Risk Management building blocks. In this case, the current implementation level of each building block is assessed and areas for improvement are identified and prioritized. The building blocks can then be implemented step by step in a pragmatic manner.

In parallel, the Risk Management System (Building Block7) should be gradually developed to ensure consistent integration across procurement activities.

Overall, the guiding principle is simple: start wherever you are and professionalize step by step.

No Risk, No Fun.

No Risk, No Business.

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